

For example, in [Figure 30.7](#), the highest high is the left peak at 35. The lowest low is at 24.88. That gives a height of 10.12. Subtract the height from the lowest low to get a target of 14.76. If the result is negative, then ignore it; price cannot decline below zero.

The bottom portion of the table shows how often the measure rule works. For our full height example, we see price will reach the target 64% of the time. Cut the height in half or use another height, and the probability of success changes.

Consider changing the predicted decline into a percentage, then looking up the failure rate in [Table 30.3](#). In this example, the decline from a breakout of 24.88 represents a loss of 40%. Does that sound reasonable? (Correct answer: No).

[Table 30.3](#) shows that 91% of double tops will fail to drop more than 35% (which is short of the 40% target, of course, but it's closest in the table). Thus, the target price is too far away, and you should choose a more conservative (closer) one.

Wait for breakout. Usually, it is best to wait for the breakout (when price closes below the confirmation line) before trading this pattern. If you do not wait, chances are price will rise 60% of the time (in bull markets) instead of dropping below the confirmation line. The Sample Trade shows an example of how to ignore this rule and make more money.

Trade with market trend. Trade with the market trend for the best results. Since this is a bearish pattern, you will have more success shorting a stock if the general market is also trending down. It need not be in a bear market, because price can rise in a bear market, too. Just be sure price has been trending down (I use 1-, 2-, and 6-month trends in my checks).

Check others in the industry. Other stocks in the same industry can give a vital clue to performance of the stock you want to trade. If other stocks are going down or showing signs of topping, then consider a short sale or selling a long holding.

Look for a stock that turns down first followed by the others. For example, Lowes reports earnings a few days before Home Depot (but this could have changed. I haven't checked in years). When Lowes reported soft earnings, that also hurt Home Depot stock. Home Depot dropped even more when it